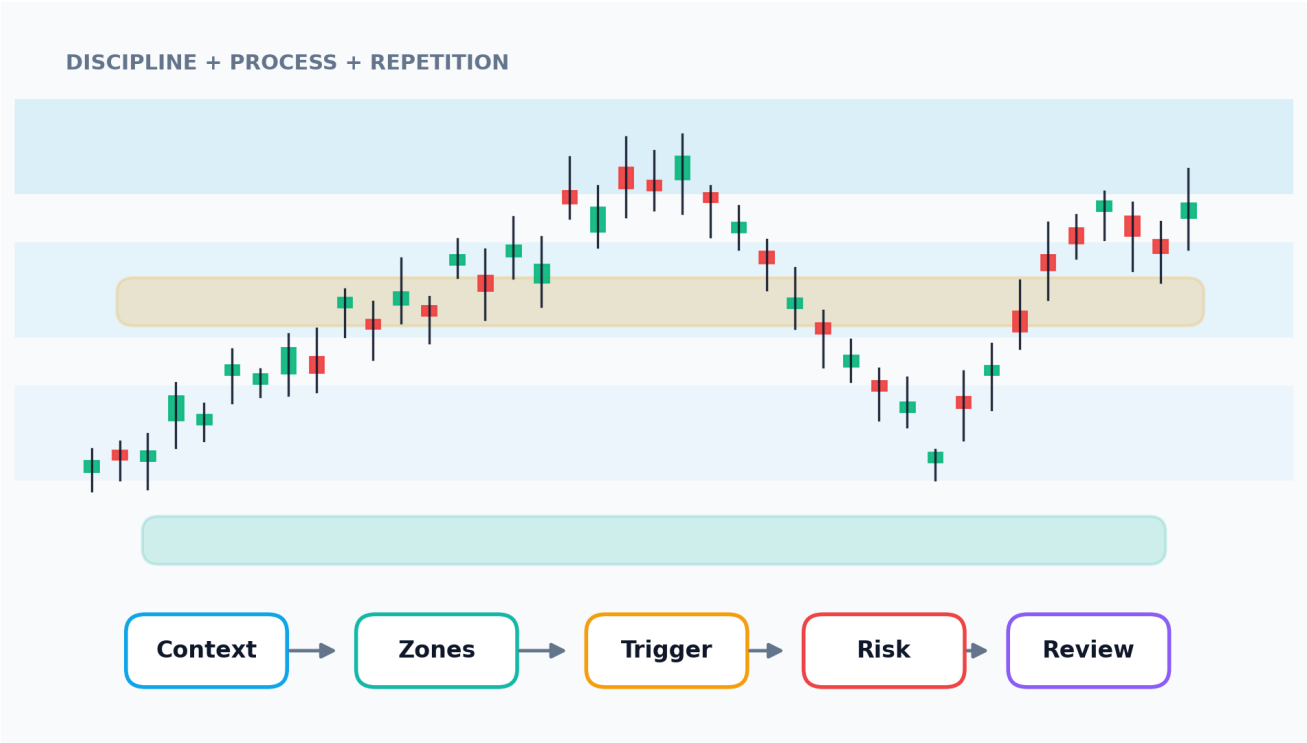


Trading Skill Framework

From First Setup to Expert Execution

A practical training outline for support, resistance, context, execution, risk, and review

Beginner foundations	Intermediate process	Expert specialization
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Educational use only. Trading involves substantial risk. Verify broker, product, tax, and jurisdictional rules before placing real capital at risk.

How to use this guide

Use the framework to convert market ideas into repeatable behavior, not into more opinions.

This guide is organized around one core idea: most traders do not fail because they cannot name a pattern. They fail because they cannot turn that pattern into a complete process with location, confirmation, invalidation, size, management, and review.

Reality check	A level is not a trade by itself. A setup without invalidation is not a trade. Survival comes before scaling.
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Read the guide in this order

- Start with the TLDR page and the master process: context -> zone -> trigger -> risk -> review.
- Study the row that matches your current level first, then read one level above it so you know what comes next.
- Turn the checklists into a premarket routine, an in-trade routine, and a postmarket review routine.
- Revisit the same sections after 20 to 30 replay reps or after a full month of small-size trading.

Where to focus by skill level

Level	Primary objective	Avoid first
Beginner	Build vocabulary, clean chart reading, higher-timeframe levels, and one or two setup families.	Too many indicators, too many markets, and real size before you can follow rules.
Intermediate	Write playbooks, classify regime, track expectancy, and reduce violation rate.	Expanding your watchlist faster than your process improves.
Expert-in-development	Specialize by instrument, regime, time of day, and quality of execution.	Mistaking selectivity and patience for passivity.

Mindset	Good progress looks like fewer rule violations, better location, cleaner risk, and steadier behavior under pressure - not simply more trades or more confidence.
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One-page TLDR

If you remember only one thing, remember the sequence and the location.

Context	Zone	Trigger	Risk	Review
TLDR		Levels are areas, context beats pattern, the middle of a range is poor location, risk must be defined before entry, and review must grade process separately from P/L.		

Seven rules that save traders from avoidable damage

1. Treat support and resistance as zones, not one-pixel lines.
2. Decide what kind of day you are in before you judge the setup.
3. Separate the setup, the signal, the trigger, and the invalidation.
4. If the next opposing level is too close, the trade may not have enough room.
5. Size from stop distance and daily loss limits, not from conviction.
6. Avoid the middle of established ranges unless your playbook explicitly allows it.
7. Scale only after a repeatable sample shows positive expectancy and low violation rates.

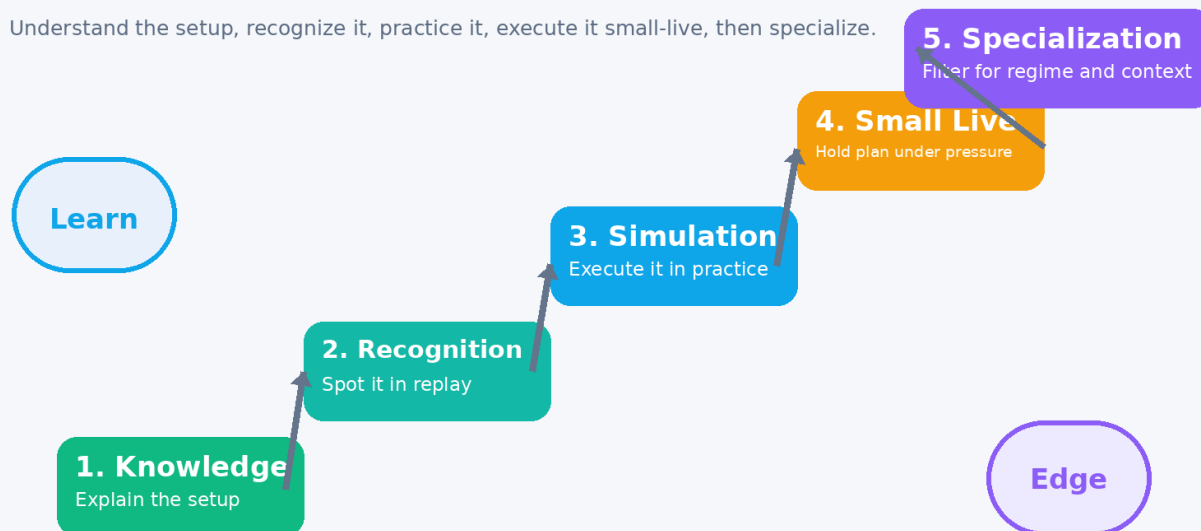
Beginner focus	Use one market, one or two setup families, and simulation or tiny size. Your job is to learn location and follow rules.
Intermediate focus	Start tagging trades by regime and setup. Improve quality of execution more than quantity of trades.
Expert focus	Specialize in the conditions where your edge is strongest. Your advantage comes from selectivity and adaptation, not constant activity.

The hidden gap: knowing is not doing

Most traders can describe a setup before they can execute it in real time.

THE HIDDEN GAP: KNOWING != DOING

Understand the setup, recognize it, practice it, execute it small-live, then specialize.



TLDR

Skill usually develops in layers: learn the pattern, recognize it in replay, practice it in simulation, execute it at small live size, then specialize by context and instrument.

Beginner focus

Explain your setup out loud in plain language. Mark the level, say where you are wrong, and build a screenshot library before trading size.

Intermediate focus

Move from hindsight recognition to preplanned execution. In replay and simulation, define the trigger and invalidation before every entry.

Expert focus

Narrow the field. Specialize by market, time of day, catalyst, and regime so your decisions become faster and cleaner under pressure.

Drills that close the knowing-doing gap

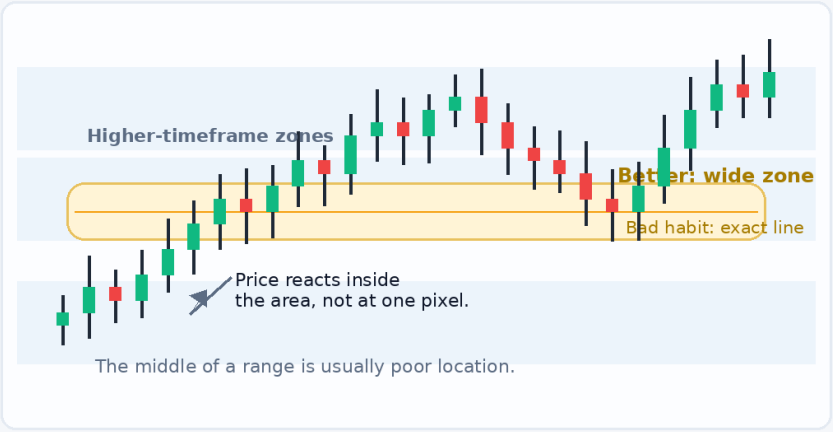
- Freeze-chart drill: stop the chart and state the long thesis, short thesis, trigger, stop, and first target from memory.
- Redraw drill: close the chart and recreate the major zones on a blank screenshot.
- Replay drill: collect 20 examples of the same setup showing both holds and failures so you learn contrast, not just the pretty version.
- Stress drill: trade the playbook at tiny size with hard daily stops so you can test discipline without meaningful financial damage.

Support and resistance from first principles

A zone matters only when participants respond there.

SUPPORT AND RESISTANCE: THINK IN ZONES, NOT LASER LINES

A level matters when the market responds there. Your job is to mark the area, then wait for evidence.



What to mark
Daily / weekly swings, open, close, premarket high / low, VWAP, prior day extremes.

What adds quality
Freshness, multiple timeframe confluence, catalyst, liquidity, and distance to next level.

What invalidates the idea
Price accepts through the zone, response is dull, or the next opposing level is too close.

TLDR	Support and resistance are better treated as areas where order flow, inventory, and memory matter. A level becomes useful when price acknowledges it and your plan defines what must happen there.
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Beginner focus	Mark only the obvious higher-timeframe swings, prior day extremes, premarket high and low, and simple session references such as open or VWAP. Keep the chart clean.
Intermediate focus	Separate the primary zone from the lower-timeframe trigger. Look for confluence: higher-timeframe level, intraday level, catalyst, and enough room to the next opposing area.
Expert focus	Think in inventory fields. Evaluate freshness, number of tests, pace into the level, tape quality, and whether the market is accepting or rejecting the area.

Quality checklist for any level

- Origin: Where did price previously reverse, accelerate, or pause with obvious participation?
- Freshness: Has the zone been used up by repeated tests, or is it relatively fresh?
- Context: Is the broader market, sector, and instrument aligned or in conflict?
- Room: Is there enough distance to the next opposing level to justify the trade?
- Liquidity: Does the instrument move cleanly enough for the stop placement you need?
- Time of day: Open, midday, and close can behave very differently around the same zone.

Context and market regime

The same pattern can be excellent in one regime and terrible in another.

REGIME FIRST: THE SAME PATTERN CHANGES WITH THE DAY TYPE

Classify the day before you evaluate the setup.

Event / high	Volatile rotation High noise. Smaller size. Wait for structure. Do not assume every touch holds.	News expansion Impulse moves. Wider stops. Let price show where structure has formed before entering.
	Quiet range Best at range edges. Fade only near extremes. Avoid trading the middle.	Orderly trend Best for pullbacks into support / resistance. Use continuation triggers and hold runners.
Normal		
	Range / rotation	Directional / trend
Ask first: What kind of day is this? Trend, range, expansion, or chop?		

TLDR

Never judge a support or resistance trade without first classifying the environment: trend, range, expansion, or chop.

Beginner focus

Ask one simple question first: Is the market trending or rotating? If you cannot answer that, reduce size or stand down.

Intermediate focus

Build performance notes by setup x regime x time block. A breakout-retest on an orderly trend day is not the same trade as a breakout attempt in dead midday chop.

Expert focus

Adapt hold time, aggressiveness, and target logic dynamically. Experts do not just recognize setups; they recognize when a setup should be ignored.

Useful if-then logic

- If the day is orderly and directional, look for pullbacks into support or resistance with continuation triggers.
- If the day is range-bound, focus on the edges of the range and avoid the middle unless your playbook specifically allows a mean-reversion scalp there.
- If the day is event-driven or news-heavy, let price form structure before assuming the first touch will hold.
- If the tape is dull and two-sided, the best trade may be no trade.

Six costly support and resistance mistakes

Most avoidable losses come from poor location, poor confirmation, or poor sizing.

TLDR	A level becomes expensive when you trade it without context, without confirmation, or without enough room and risk control.
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#	Mistake	What it looks like	Better response
1	Drawing exact lines	You expect one precise price to hold.	Mark a zone and define what response must appear inside it.
2	Ignoring bigger-picture context	You fade a level against higher-timeframe trend or a strong catalyst.	Grade the setup only after you classify trend, market alignment, and regime.
3	Trading the middle of the range	You are neither near support nor near resistance, so risk/reward is poor.	Wait for range edges, pullbacks, or a confirmed break and retest.
4	Confusing a touch with a trigger	You enter because price arrived, not because price responded.	Require evidence: rejection, reclaim, acceptance, failed break, or another written trigger.
5	Using the wrong stop	The stop sits inside normal noise or far beyond the real invalidation.	Place the stop where the trade thesis is actually wrong, then size smaller if needed.
6	Forcing room that is not there	The next opposing level is close, but you trade anyway.	Skip the trade or reduce expectations when the path to the target is crowded.

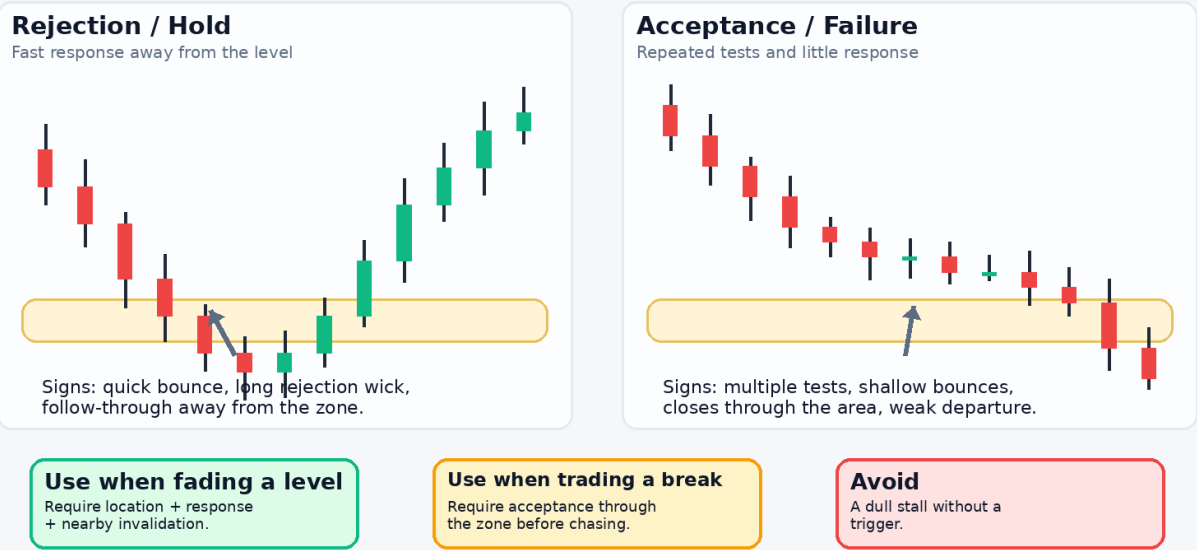
Beginner focus	Focus on avoiding the middle, waiting for a written trigger, and trading small enough that one mistake does not distort your judgment.
Intermediate focus	Track which mistakes repeat. Most intermediates do not need more setups; they need fewer unforced errors around the setups they already know.
Expert focus	Separate level quality, execution quality, and size quality. Experts know that a good idea can still be traded badly.

Hold or fail? Read rejection versus acceptance

Your edge comes from reading the response after price reaches the area.

HOLD OR FAIL? READ REJECTION VS ACCEPTANCE

A touch alone is not enough. Watch the response after price reaches the zone.



TLDR	Do not focus only on whether price touched the level. Focus on whether price rejected the area and moved away, or accepted the area and kept leaning through it.
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Beginner focus	When price reaches support or resistance, slow down. If the response is dull, assume the chance of failure is rising.
Intermediate focus	Separate anticipation entries from confirmation entries. Anticipation may offer better price, but confirmation usually offers cleaner information.
Expert focus	Read tempo, retests, closes through the zone, and quality of participation. Acceptance often looks quieter and weaker than traders expect.

Readouts that matter at the level

- Response speed: clean rejection usually leaves the zone quickly.
- Number of retests: repeated taps often weaken the area or reveal acceptance.
- Close behavior: closes through the zone matter more than intrabar noise.
- Departure quality: strong follow-through away from the area is better than a dead bounce.
- Room after entry: a correct read still needs a realistic target path.

The trade construction stack

A setup becomes tradable only when you can define the entire chain from context to review.



TLDR	A professional trade is built the same way every time: context, zone, signal, trigger, invalidation, management, and review.
Beginner focus	Prewrite the entry, stop, and first target before sending an order. If you cannot explain the trade in one breath, it is probably too vague.
Intermediate focus	Turn your best setups into written playbooks: pullback, breakout-retest, failed breakdown, range fade, and other recurring patterns you actually see.
Expert focus	Convert playbooks into decision trees with branches for hold, partial fail, squeeze, and full failure. Experts trade conditions, not labels.

Three fields you must write down before entry

Field	What to write down
Context	Uptrend, range, event day, catalyst, market alignment, and liquidity state
Trigger	Exact event that gets you in: reclaim, break, retest, pivot break, or another written entry event
Invalidation	Point where the thesis is wrong, not just where the trade feels uncomfortable

Risk management and expectancy

The goal is not to be right often. The goal is to stay solvent while building a positive process.

Position size risk dollars / stop distance	R multiple P&L / initial risk	Expectancy $(\text{win}\% \times \text{avg win}) - (\text{loss}\% \times \text{avg loss}) - \text{costs}$
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TLDR	Risk must be set before entry. If the stop is too wide for your fixed dollar risk, reduce size or skip the trade.
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Beginner focus	Use fixed tiny risk and a hard daily loss limit. If you break your risk rule, stop trading and review the day.
Intermediate focus	Track expectancy, average win, average loss, maximum adverse excursion, maximum favorable excursion, slippage, and violation rate. This is where real improvement becomes measurable.
Expert focus	Manage portfolio heat, correlation, liquidity, gap risk, and event exposure. Experts know that several good trades can still create one bad risk book.

Daily guardrails

- No adding to losers unless the add-on is explicitly written, tested, and sized as part of the original plan.
- No moving the stop wider because the trade feels uncomfortable.
- Cap the number of real attempts or cap daily loss so a bad morning does not become a destructive day.
- Increase size only after a repeatable sample shows positive expectancy and emotional stability.

Example: a lower win rate can still be profitable

Metric	Example
Win rate	45%
Average win	2.3R
Average loss	1.0R
Gross expectancy	+0.485R before costs

Execution standards and operating rules

Great execution is usually boring, precommitted, and measurable.

Stage	Operating standard
Premarket	Mark higher-timeframe zones; note catalyst; define primary and secondary plays; list no-trade conditions; set daily risk cap.
In-trade	Wait for location; require the trigger; place the stop where the thesis is wrong; know the first scale-out before entry; avoid improvising under pressure.
Postmarket	Save before-and-after screenshots; score process separately from P/L; tag the trade by setup and regime; note emotional errors and rule breaches.

TLDR	Consistency comes from repeating the same operating routine whether the last trade won or lost.
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Beginner focus	Use hard rules and reminders. A simple checklist before each trade will usually improve execution more than a new indicator.
Intermediate focus	Separate process grade from P/L. You can lose on a correct trade and still earn a high process score; you can win on a bad trade and still grade it poorly.
Expert focus	Reduce cognitive load. Experts use standardized routines, smaller watchlists, and prewritten scenarios so attention can be spent on the live market, not on remembering basics.

Non-negotiable execution rules

1. No impulsive entries far from the planned zone.
2. No chasing after the move has already consumed most of the edge.
3. No widening the stop without a written rule.
4. No revenge trading after a stop-out or missed move.
5. No credit for a profitable trade that violated the plan.

Practice architecture: how skill is actually built

Screen time alone is not deliberate practice.

TLDR	The fastest path is narrower practice: one setup family, many replay reps, structured review, then tiny live exposure.
Beginner focus	Collect at least 100 chart examples of one setup family and study them until the common features become obvious.
Intermediate focus	Do 20 to 30 replay reps per week and isolate one weakness at a time: early entry, late chase, poor stop, bad location, or weak management.
Expert focus	Archive your data by instrument, regime, catalyst, time of day, and execution type so you can see which combinations truly create edge.

Practice stack

- Study: label charts, mark zones, and identify the ideal context for the setup.
- Replay: pause the chart before the decision point and verbalize the plan from memory.
- Simulation: execute the playbook exactly as written and log the result in R.
- Small live: keep size so small that you can still follow the plan without emotional distortion.
- Review: compare best trades, worst trades, and most avoidable mistakes each week.

High-value drills

- Retrieval practice: explain the setup from memory before reopening the chart.
- Contrast study: place good examples and failed examples side by side.
- Constraint drill: trade only one setup for a full week so your data stays clean.
- Failure drill: document the top three ways your setup breaks so you stop romanticizing perfect charts.

Journaling, review loops, and metrics that matter

Journal decisions and behaviors, not only dollars.

TLDR	A journal should tell you where your edge comes from, where your violations come from, and what you will change next.
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Journal field	What to log
Setup	Name of the play, direction, and exact trigger
Context	Regime, market alignment, catalyst, time of day, liquidity
Location	Zone quality, distance to next level, whether the trade was at the edge or in the middle
Risk	Initial stop, risk dollars, position size, daily risk state
Result	R multiple, maximum adverse excursion, maximum favorable excursion
Execution	Entry quality, scale-out quality, stop discipline, slippage
Behavior	Emotion, hesitation, impulse, overconfidence, fatigue, revenge
Lesson	One clear action to repeat or remove next time

Beginner focus	Count unplanned trades, stop violations, and trades taken in poor location. These numbers matter more than raw P/L early on.
Intermediate focus	Track expectancy by setup and regime. Start asking: Which patterns actually make money, and which only feel familiar?
Expert focus	Measure the details that affect scale: latency, slippage, scaling quality, hold time, missed A-grade trades, and portfolio heat.

Weekly review questions

- Where did I make money because of edge versus because of luck?
- Where did I lose from valid risk versus from a rule violation?
- Which setup-regime combinations are strongest and weakest?
- What will I stop doing next week?
- What one behavior, if improved, would have the highest payoff?

A 90-day development path

Promotion is earned by evidence, not by excitement.



TLDR	Spend the first month on foundations, the second on process, and the third on tiny live execution with strict limits.
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Stage shift	Evidence required
Beginner -> developing	Can explain the setup, identify it cleanly, mark major zones, and avoid catastrophic risk mistakes.
Developing -> intermediate	Has written playbooks, logs trades by regime, and can produce a meaningful sample in replay or simulation.
Intermediate -> advanced-in-development	Shows positive expectancy over a real sample, low violation rates, and stable behavior at small live size.

- Month 1: market structure, zone selection, screenshot library, simulator only.
- Month 2: replay repetitions, written playbooks, trigger quality, expectancy tracking.
- Month 3: tiny live size, strict daily stop, high-quality review, no scale-up without proof.

Advanced layer: how expert traders separate themselves

Experts are usually narrower, more selective, and better at saying no.

TLDR	Expert performance comes less from finding secret setups and more from specialization, edge stacking, and capital discipline.
Beginner focus	Do not imitate expert aggression. Imitate expert selectivity, patience, and precision in location.
Intermediate focus	Start measuring what actually adds confluence: market alignment, catalyst quality, time of day, liquidity, and the quality of the response at the zone.
Expert focus	Specialize by instrument, regime, and event type. Manage portfolio heat, correlation, and asymmetry so your capital is deployed where the edge is strongest.

What the advanced layer actually looks like

1. Specialization by instrument, catalyst, regime, and time of day.
2. Conditional sizing: more size only when the full stack aligns.
3. Partial-profit architecture that matches volatility and context.
4. Fast recognition of no-trade conditions and dead tape.
5. Awareness of inventory, trapped traders, squeeze risk, and failed breaks.
6. Protection of mental capital as seriously as financial capital.

Expert note	Do not confuse frequent activity with professional aggression. Experts often trade less because they filter harder.
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Risk reality and product-specific notes

Short-term trading is difficult, leverage changes the game, and rules matter.

TLDR

Treat survival and data collection as the first milestones. Most active traders never reach durable consistency because they overtrade, oversize, or misuse leverage before they have an edge.

Product and rule snapshot

- Equities in U.S. margin accounts may trigger pattern day trader rules; verify current broker and regulatory requirements before trading frequently.
- Futures, forex, crypto, CFDs, and other leveraged products can magnify losses and can create margin calls quickly.
- Over-the-counter products can introduce additional counterparty, spread, and execution risks beyond chart reading.
- Taxes, commissions, platform fees, borrowing costs, and slippage all change the real expectancy of a strategy.
- If the instrument is too illiquid for your stop placement and target path, the setup may be untradable even if the chart pattern looks attractive.

Final operating checklist

1. Trade location, not excitement.
2. Think in zones, not laser lines.
3. Context first, setup second.
4. No trigger, no trade.
5. No invalidation, no size.
6. Size from risk, not from conviction.
7. Skip the middle of the range unless your playbook allows it.
8. Journal violations more seriously than losses.
9. Protect focus, sleep, and emotional stability.
10. Scale only from repeatable data.

Selected references and further study

Use these as starting points for rules, risk awareness, and deeper skill development.

1. FINRA. Day Trading. Current overview of day-trading rules, pattern day trader treatment, and margin basics.
2. Investor.gov. Thinking of Day Trading? Know the Risks. Plain-language reminder that active trading is not appropriate for many investors.
3. U.S. Securities and Exchange Commission. Margin Rules for Day Trading. Broker and account-rule context for active equities traders.
4. CFTC. Eight Things You Should Know Before Trading Forex. Useful risk framing for leveraged OTC markets.
5. Barber, B. M., and Odean, T. Trading Is Hazardous to Your Wealth. Foundational evidence on the performance drag from overtrading.
6. Chague, F., De-Losso, R., Giovannetti, B., and Ventura, R. Day Trading for a Living? Evidence on the rarity of durable retail trading success.
7. SMB Capital educational articles on stages of successful trading, putting a trade together, and interpreting price action around support and resistance.
8. Research on deliberate practice and retrieval practice for skill development. Apply it to replay, recall, and focused review rather than passive rereading.

Note	Always verify current rules, fees, and broker-specific requirements in your own jurisdiction before trading live.
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